



MEMORANDUM

TPA - No. 2011-0110

The Philippine Stock Exchange, Inc.

☒ Trading Rules	☐ Computer Systems Update
☐ Membership Rules	☐ Administrative Matters
☐ Listing Rules	☐ Others: <u>Trading Schedule</u>

Date : **December 7, 2011**

Subject : **SEC Approved Amendments to PSE Revised Trading Rules**

Further to Memorandum TPA 2011-0108 dated December 6, 2011, please be informed that the Securities and Exchange Commission ("SEC") approved the amendments to the PSE Revised Trading Rules which will take effect on January 2012.

Attached are a copy of SEC and amended Articles of the Revised Trading Rules.

For your information and guidance.

Original signed
RACHELLE C. BLANCH
VP & Head, Market Operations Division

Noted by:

Original signed
HANS B. SICAT
President & CEO

FID/CSD	Market Regulation Division	Issuer Regulation Division	Technology Division	Market Operations Division	Capitals Markets Dev't Division	Office of the General Counsel
Tel.# 688-7561/6887508	Tel. # 688-7541	Tel. # 688-7510	Tel. # 688-7480	Tel. # 819-4430	Tel. # 688-7534	Tel. # 688-7411



Republic of the Philippines
Department of Finance
Securities and Exchange Commission
SEC Building, EDSA, Greenhills, Mandaluyong City
Market Regulation Department

25 October 2011

PHILIPPINE STOCK EXCHANGE INC.

PSE Plaza
Ayala Avenue
Makati City
Fax: 891-9004

Attention: Mr. Hans B. Sicat, President

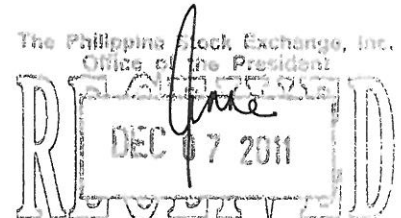
Gentlemen:

Attached are **two (2) copies** of the approved amendments to the PSE Revised Trading Rules, bearing the signatures of PSE representatives and countersigned by the Director, Market Regulation Department, SEC.

Please immediately post the rules in your website.

Very truly yours,


VICENTE GRACIANO P. FELIZMENIO JR.
Director



ARTICLE II

TRADING DAY SCHEDULE

SECTION 1. Trading Day and Non-Trading Day

Every day shall be a Trading Day except for Saturdays, Sundays, legal holidays, special holidays, days when the *Bangko Sentral ng Pilipinas* (BSP) is closed, and such other days as may otherwise be declared by the SEC or the Exchange, through its President or other duly authorized representative, to be a non-Trading Day.

SECTION 2. Trading Hours

The Exchange shall determine the hours and schedule of a Trading Day. Unless the Exchange decides otherwise, a Trading Day shall conform to the following schedule:

For half-day trading:

8:45 a.m.	-	National Anthem
9:00 a.m.	-	Pre-Open
9:30 a.m.	-	Market Open
11:57 a.m.	-	Pre-Close
12:00 p.m.	-	Run-off/ Trading at Last
12:10 p.m.	-	Market Close

For whole day trading:

8:45 a.m.	-	National Anthem
9:00 a.m.	-	Pre-Open
9:30 a.m.	-	Market Open
12:00 p.m.	-	Market Recess
1:30 p.m.	-	Market Resumes
3:17 p.m.	-	Pre-Close
3:20 p.m.	-	Run-off/ Trading-at-Last
3:30 p.m.	-	Market Close

The Exchange may effect changes to the hours and schedule of a Trading Day, as the circumstance warrants.

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ARTICLE IV

GENERAL TRADING OPERATIONS

SECTION 13. Order Modification

- a. Modification of Orders shall be prohibited within a specific phase during Market Pre-Open and Pre-Close Period and Market Recess in accordance with the Implementing Guidelines of these Rules.
- b. A posted and unmatched Order may be modified without losing its priority in the Order queue if it involves any or a combination of the following:
 - i. a decrease in its volume;
 - ii. a modification of validity type; or
 - iii. a modification of client account code.
- c. A modified Order loses its priority when it involves any or a combination of the following:
 - i. an increase in its volume;
 - ii. a modification of the limit price entered; or
 - iii. a modification of the trigger price entered.
- d. No unmatched Order modification is allowed from client to proprietary or vice versa.

SECTION 14. Cancellations of Orders

- a. Cancellation of Orders shall be prohibited within a specific phase during Market Pre-Open and Pre-Close Period and Market Recess in accordance with the Implementing Guidelines of these Rules.
- b. Cancellation of any remaining unexecuted portion of a partially matched Order is allowed.
- c. The Exchange shall cancel the following Orders which are deemed invalid:
 - i. Orders for a certain Security in the event of corporate actions resulting to an adjustment in the Closing Price;
 - ii. Orders on the ex-date for Securities with cash and/or property dividends; or
 - iii. Orders for Securities that cross a Board Lot.
- d. The Trading Participant can only direct the Exchange to execute a cancellation of all the Orders already posted when there occurs a system failure or interruption on the PSE-

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certified Front-End Order Management System of the Trading Participant or Common Customer Gateway (CCG) of the Exchange.

ARTICLE VI

CROSS TRANSACTIONS AND BLOCK SALE

SECTION 3. Block Sales

- a. Upon approval by the Exchange, Block Sales shall be immediately entered into the Trading System of the Exchange.
- b. Block Sales shall comply with the minimum transaction value and the allowable execution prices in accordance with the Implementing Guidelines of these Rules.
- c. Block Sales shall only constitute pre-arranged transactions between and among parties to be executed through the Exchange.
- d. Block Sales shall have an execution price of above or below a prescribed ratio of the previous Trading Day's Closing Price or the ACP in the event of corporate actions, or the last ACP in cases where there is no trading activity for the Security in the immediately preceding Trading Day, in accordance with the Implementing Guidelines of these Rules.
- e. Block Sales may involve one or two Trading Participants, but shall have different clients for the buying and the selling side.
- f. In Block Sales involving two Trading Participants, a Block Sale declaration which is not confirmed by the counterpart Trading Participant shall be eliminated after the period set by the Exchange.
- g. Block Sales shall be settled based on Clearing Agency rules.
- h. The Block Sale Market adopts the same Security state, other than freezing and reservation, implemented in the Normal Market.
- i. Block Sale transactions can be executed from the Market Pre-Open to the Trading-at-Last/Run-Off period, including Market Recess.
- j. Requests for Block Sales shall be acted upon within two (2) Trading Days.

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ARTICLE VIII

MARKET HALT OR SUSPENSION OF TRADING ACTIVITY

SECTION 2. Market Halt

- a. The Exchange may halt the trading in the Market if at least one-third (1/3) of the Trading Participant-users cannot access the Trading System due to Trading System problems such as, but not limited to, server failure, network/link problems, or application errors.
- b. In the event of Market Halt occurring thirty (30) minutes or more, the Exchange shall extend trading hours. However, trading extension will no longer be applicable for whole day trading, except for the purpose of completing the remaining market phases, if warranted under the circumstances, in accordance with the implementing guidelines.
- c. Resumption of trading shall be governed by the following guidelines:
 - i. In the event a Market Halt affects the Pre-Open Period, the Exchange shall allot time for the Pre-Open Period upon lifting of Market Halt.
 - ii. In the event a Market Halt affects the Pre-Close and/or Run-Off Period, upon lifting of the Market Halt the Exchange shall complete the remaining market phases when practicable.
- d. In the event a Market Halt lasts for more than two (2) hours or fifteen (15) minutes beyond the Run-Off Period, the Exchange has sole discretion to suspend or cancel the trading for the day as the circumstances may warrant.
- e. The President may authorize trading to proceed on any operational Trading Floor and the affected Trading Participant may trade through its correspondent Trading Participant or through any other mode of trading not prohibited by the rules of the Exchange.

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